



TD SECURITIES (USA) LLC

July 13, 2026

Price: \$131.70 (07/10/2026)

Price Target: \$180.00

BUY (1)

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Key Data

Symbol	NASDAQ: CHKP
Beta:	0.49
52-Week Range:	\$223.00-\$112.47
Market Cap:	\$13.7B
Net Debt (MM):	\$(795.3)
Cash/Share:	\$11.93
Dil. Shares Out (MM):	106.1
Enterprise Value (MM):	\$13,178.1
ROE (LTM):	37.6%
BV/Share:	\$27.00
FCF Yield:	8.0%
Dividend:	\$0.00
Yield:	0.0%

FY (Dec)	2025A	2026E	2027E
Revenue (MM)			
Year	\$2,725.0	\$2,810.0	\$3,000.0
EV/S	4.8x	4.7x	4.4x
Consensus Rev	\$2,725.4	\$2,814.8	\$2,982.4

Consensus source: FactSet

Tables in the report show Refinitiv consensus estimates and thus may not match these FactSet estimates

Billings

Year	2,906.0	2,949.0	3,154.0
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EPS

Year	\$11.89	\$10.55	\$11.55
P/E	11.1x	12.5x	11.4x

COMPANY UPDATE

2Q26 Preview: Near-Term GTM Headwinds But 2H26 Opportunity Still Remains

THE TD COWEN INSIGHT

For 2Q26, we est billings to decline 3% y/y as CHKP is still working through the effects of its GTM adjustments and sales leadership changes. While its emerging products initiatives are bearing fruit, former 1Q26 self-inflicted sales execution issues could linger in 2Q26. That said, we remain constructive LT and FY26 guide reiteration could be viewed favorably as industry tailwinds remain intact.

Billings May Face NT Headwinds from GTM Adjustments: For 2Q26 (reports 7/30 BMO), we est billings to decline 3% y/y to \$622M (3% below St's flat \$639M) as CHKP is still working through the transitional effects of its GTM adjustments and leadership changes. That said, mgmt may reiterate a solid demand and business pipeline growth in the data center (DC) & cloud security space, driven by the rise of AI and global DC build outs.

Memory Costs & FX May Weigh on Profitability: For total rev, we est. 2% y/y growth to \$622M (approx. in line w/St) and expect rev growth for *Software Blade Subscriptions* to accelerate to 12.5% y/y (1Q26: +11.2% y/y), driven by solid demand for the emerging products, particularly SASE and CTEM, where CHKP is gaining share in VM. But despite a 5% price increase on F/W appliances to partially offset skyrocketing memory costs, we est a 20% y/y decline in *Product* revenue due known GTM transitions formerly called out by mgmt. Both non-GAAP gross margin (2QE: 87.2% vs. 87.9% ST) and op margin (2QE: 39.1% / -170bps y/y) may face headwinds from memory and FX (USD depreciated 16% against NIS). We calculate an in-line adj. EPS of \$2.48 and a below-St FCF margin of ~22%.

Could 2Q Signal A Bottom? Last Q, mgmt lowered its FY26 total revenue growth guidance from 4%-8% to 2%-5% (we est 3% y/y, in line w/St). Assuming *Subscription & Updates* grows at 7% y/y, *Products* would have to start accelerating QoQ from 3Q to ensure CHKP can comfortably reach the midpoint of its guide. However, current industry checks and VARs conversations suggest that 2Q26 is still transitory with patience needed as CHKP steers towards an improved 2H26 market positioning. That said, a healthy balance sheet with ~\$5B could also be utilized for growth re-acceleration.

Maintain Buy: CHKP's emerging products initiatives appear to be bearing fruit as the business pipeline related to unattached subscriptions should have trended positively upward in 2Q. We believe 2Q sales execution trends are transitory and that additional investor patience is needed as CHKP works internally to improve 2H26 and FY27 market positioning. Maintain Buy with \$180 PT.

AT A GLANCE

Our Investment Thesis

Our investment thesis is predicated on the following: (1) Expansion of platform strategy enables deeper penetration of target enterprises, (2) strengthened performance in the channels enables market share gains, (3) persistence of firewalls within mission-critical cybersecurity infrastructure enables anchoring sale into large enterprises, (4) sustained profitability and cash flow enable execution of share repurchases and strategic, tuck-in acquisitions.

Base Case Assumptions

- CHKP's platform approach enables a steady increase in enterprise solutions offered
- Annual revenue growth consistently in the low-to-mid single-digit range
- Annual operating margins consistently in the high 30% to low 40% range

Upside Scenario

- CHKP's platform approach gains traction faster than expected
- Annual revenue growth consistently in the mid-teens or above
- Annual operating margins consistently above 50%

Forthcoming Catalysts

- Quarterly earnings
- Product introductions
- Platform extensions
- Industry and investor conferences

Downside Scenario

- CHKP's platform approach does not generate significant traction
- SASE offering does not gain traction
- Annual revenue flat or below
- Annual operating margins below 20%

Price Performance



Source: Bloomberg

Company Description

CHKP is a cybersecurity company that provides appliances, software subscriptions, and support across a range of security sub-segments including network security, endpoint security, internet/web security, email & mobile security, cloud security, and professional managed security services. CHKP's suite of products and services operate under a unified architecture called Infinity-Vision that enables end-to-end security under a single pane of glass across an organization. CHKP's business segments include Quantum (Network Security), CloudGuard (Cloud Security), and Harmony (Users & Access Security). The company's current focus is to redirect resources to the higher growth priority areas such as Infinity, Quantum, and CloudGuard.

Analyst Top Picks

	Ticker	Price (07/10/2026)	Price Target	Rating
Cloudflare	NET	\$268.40	\$300.00	Buy
Fortinet	FTNT	\$157.51	\$160.00	Buy
SailPoint	SAIL	\$13.71	\$19.00	Buy

CHKP Guidance (4/30/26)

For 2026, CHKP guided to:

- **Revenue:** \$2,770M to \$2,850M, up 2% to 5% (consensus: \$2,893M)
 - Previous guidance: \$2,830M to \$2,950M, up 4% to 8%
 - Reflects lowered revenue from firewall appliances
- **Subscription Revenue:** \$1,345M to \$1,385M, up 10% to 14% (consensus \$1,364M)
 - Guidance unchanged
- **Non-GAAP EPS:** \$10.05 to \$10.85, up 1% to 9% (consensus: \$10.43)
 - Guidance unchanged
- **Adj Free Cash Flow:** \$1,150M to \$1,250M
 - Guidance unchanged

For 2Q26, CHKP guided to:

- **Revenue:** \$660M to \$690M, down 1% to up 4% (consensus: \$706M)
- **Subscription Revenue:** \$328M to \$338M, up 10% to 13% (consensus: \$333M)
- **Non-GAAP EPS:** \$2.40 to \$2.50 (consensus: \$2.54)
- **Adj Free Cash Flow:** \$145M to \$175M

Figure 1 - **Cybersecurity Comparable Companies: Consensus Financial Statistics**

Ratings: 1=Buy, 2=Hold, 3=Sell, 4=Suspended

Consensus Company Statistics											(\$ in millions, except per share data)
Ticker	Company	Rating	7/10/26	High 52WK	Low 52WK	Shares	Market Cap	Debt	Cash	Net Debt /(Cash)	Ent. Value
ALLT	Allot	1	\$8.48	\$11.92	\$6.12	49	\$415	\$6	\$98	(\$92)	\$322
CHKP	Check Point	1	\$131.70	\$225.23	\$112.23	104	\$13,727	\$2,007	\$4,380	(\$2,373)	\$11,354
CLBT	Cellebrite	1	\$15.94	\$19.98	\$11.02	249	\$3,976	\$23	\$535	(\$512)	\$3,464
CRWD	CrowdStrike	1	\$187.18	\$209.50	\$85.68	1,018	\$190,598	\$820	\$4,782	(\$3,962)	\$186,636
EVLV	Evolv	1	\$5.92	\$8.91	\$4.87	180	\$1,065	\$42	\$61	(\$19)	\$1,046
FSLY	Fastly	NR	\$19.59	\$34.82	\$6.29	157	\$3,066	\$430	\$330	\$100	\$3,166
FTNT	Fortinet	1	\$157.51	\$165.28	\$70.12	733	\$115,399	\$1,062	\$3,635	(\$2,573)	\$112,827
GEN	Gen Digital	NR	\$25.91	\$32.22	\$17.78	602	\$15,609	\$8,260	\$427	\$7,833	\$23,442
NET	Cloudflare	1	\$268.40	\$280.14	\$158.83	355	\$95,315	\$3,518	\$4,176	(\$658)	\$94,657
NICE	Nice	NR	\$99.74	\$175.00	\$83.10	59	\$5,844	\$89	\$310	(\$221)	\$5,623
NTSK	Netskope	1	\$12.32	\$27.99	\$7.67	404	\$4,976	\$755	\$1,103	(\$348)	\$4,628
OKTA	Okta	2	\$138.63	\$153.20	\$62.66	174	\$24,095	\$422	\$2,595	(\$2,173)	\$21,922
PANW	Palo Alto	1	\$325.91	\$368.17	\$139.57	815	\$265,617	\$417	\$7,003	(\$6,586)	\$259,031
QLYS	Qualys	2	\$152.69	\$164.17	\$74.51	35	\$5,377	\$52	\$731	(\$678)	\$4,699
RDWR	Radware	NR	\$31.45	\$32.79	\$21.68	43	\$1,357	\$17	\$324	(\$307)	\$1,050
RPD	Rapid7	NR	\$11.17	\$24.42	\$4.97	67	\$746	\$968	\$670	\$298	\$1,045
SAIL	SailPoint	1	\$13.71	\$24.00	\$10.30	567	\$7,776	\$18	\$394	(\$376)	\$7,400
S	SentinelOne	1	\$17.88	\$21.40	\$11.81	343	\$6,129	\$15	\$831	(\$816)	\$5,313
TENB	Tenable	1	\$39.78	\$42.94	\$15.73	110	\$4,387	\$417	\$360	\$57	\$4,444
VRNS	Varonis	1	\$44.53	\$63.90	\$19.70	115	\$5,113	\$522	\$902	(\$380)	\$4,732
ZS	Zscaler	1	\$139.27	\$336.99	\$114.63	162	\$22,521	\$1,797	\$3,555	(\$1,759)	\$20,763

Source: FactSet data, table created by TD Cowen

Figure 2 - **Cybersecurity Comparable Companies: Consensus Operating & Valuation Statistics**

Consensus Operating and Valuation Statistics																(\$ in millions, except per share data)	
Ticker	FY End	7/10/26 Ent. Value	Est. Revenue 2026	Est. Revenue 2027	Est. Revenue 2028	EV/Rev 2026	EV/Rev 2027	EV/Rev 2028	Est. EPS 2026	Est. EPS 2027	Est. EPS 2028	P/E 2026	P/E 2027	P/E 2028	EBIT margin 2026	Est. Rev Growth 2027	
ALLT	Dec	\$322	\$116	\$130	\$145	2.8x	2.5x	2.2x	\$0.29	\$0.36	\$0.29	29x	24x	29x	11.5%	12.5%	
CHKP	Dec	\$11,354	\$2,815	\$2,982	\$3,150	4.0x	3.8x	3.6x	\$10.42	\$11.42	\$12.46	13x	12x	11x	39.5%	6.0%	
CLBT	Dec	\$3,464	\$568	\$667	\$783	6.1x	5.2x	4.4x	\$0.33	\$0.44	\$0.57	49x	36x	28x	25.0%	17.5%	
CRWD	Jan	\$186,636	\$5,945	\$7,242	\$8,833	31.4x	25.8x	21.1x	\$1.23	\$1.56	\$2.01	152x	120x	93x	24.8%	21.8%	
EVLV	Dec	\$1,046	\$177	\$209	NA	5.9x	5.0x	NA	-\$0.09	-\$0.07	NA	NA	NA	NA	-6.5%	18.1%	
FSLY	Dec	\$3,166	\$719	\$801	\$884	4.4x	4.0x	3.6x	\$0.32	\$0.39	\$0.47	60x	50x	42x	8.9%	11.4%	
FTNT	Dec	\$112,827	\$7,806	\$8,637	\$9,534	14.5x	13.1x	11.8x	\$3.15	\$3.42	\$3.81	50x	46x	41x	34.6%	10.6%	
GEN	Apr	\$23,442	\$5,382	\$5,762	\$6,190	4.4x	4.1x	3.8x	\$2.91	\$3.30	\$3.69	9x	8x	7x	49.9%	7.1%	
NET	Dec	\$94,657	\$2,810	\$3,595	\$4,578	33.7x	26.3x	20.7x	\$1.20	\$1.58	\$2.16	224x	170x	124x	14.7%	27.9%	
NICE	Dec	\$5,623	\$3,179	\$3,485	\$3,922	1.8x	1.6x	1.4x	\$11.09	\$12.66	\$15.39	9x	8x	6x	25.8%	9.6%	
NTSK	Jan	\$4,628	\$881	\$1,071	\$1,286	5.3x	4.3x	3.6x	-\$0.18	\$0.02	\$0.14	NA	570x	86x	-9.7%	21.6%	
OKTA	Jan	\$21,922	\$3,199	\$3,503	\$3,874	6.9x	6.3x	5.7x	\$3.85	\$4.26	\$4.83	36x	33x	29x	25.7%	9.5%	
PANW	Jul	\$259,031	\$11,415	\$13,814	\$15,764	22.7x	18.8x	16.4x	\$3.77	\$4.11	\$0.00	86x	79x	NA	29.1%	21.0%	
QLYS	Dec	\$4,699	\$725	\$775	\$825	6.5x	6.1x	5.7x	\$7.60	\$8.31	\$8.72	20x	18x	18x	42.7%	7.0%	
RDWR	Dec	\$1,050	\$329	\$355	NA	3.2x	3.0x	NA	\$1.17	\$1.30	NA	27x	24x	NA	12.9%	7.9%	
RPD	Dec	\$1,045	\$839	\$837	\$852	1.2x	1.2x	1.2x	\$1.56	\$1.54	\$1.63	7x	7x	7x	13.7%	-0.2%	
SAIL	Jan	\$7,400	\$1,270	\$1,507	\$1,766	5.8x	4.9x	4.2x	\$0.32	\$0.40	\$0.47	43x	34x	29x	18.9%	18.6%	
S	Jan	\$5,313	\$1,200	\$1,412	\$1,638	4.4x	3.8x	3.2x	\$0.35	\$0.50	\$0.72	51x	36x	25x	10.0%	17.6%	
TENB	Dec	\$4,444	\$1,074	\$1,151	\$1,237	4.1x	3.9x	3.6x	\$1.95	\$2.16	\$2.38	20x	18x	17x	24.0%	7.2%	
VRNS	Dec	\$4,732	\$734	\$869	\$1,020	6.4x	5.4x	4.6x	\$0.12	\$0.38	\$0.69	374x	116x	65x	1.0%	18.3%	
ZS	Jul	\$20,763	\$3,331	\$3,893	\$4,542	6.2x	5.3x	4.6x	\$4.12	\$4.58	\$5.38	34x	30x	26x	22.7%	16.9%	
						Average	8.7x	7.3x	6.6x	Average			68x	72x	38x		
						Median	5.8x	4.9x	4.2x	Median			36x	34x	28x		

Source: FactSet data, table created by TD Cowen

CHKP: GAAP Income Statement \$M, except per share figures	FY22A 2022	FY23A 2023	FY24A 2024	1Q25A Mar'25	2Q25A Jun'25	3Q25A Sep'25	4Q25A Dec'25	FY25A 2025	1Q26A Mar'26	2Q26E Jun'26	3Q26E Sep'26	4Q26E Dec'26	FY26E 2026	FY27E 2027	FY28E 2028	CAGR FY18A-23A	CAGR FY23A-28E
Product & Licenses	554.9	497.4	507.9	114.1	131.9	130.4	171.8	548.2	110.8	105.5	110.8	151.2	478.3	492.7	507.5	(1.1%)	0.4%
Software Blade Subscription	858.0	981.2	1,104.2	290.6	297.9	305.4	325.1	1,219.0	323.2	335.2	342.8	364.0	1,365.2	1,526.0	1,702.5	12.6%	11.7%
Software Updates & Maintenance	917.0	936.1	952.9	233.1	235.4	241.7	248.0	958.2	234.4	237.8	244.1	250.5	966.8	981.3	996.0	2.0%	1.2%
Total Revenue	2,329.9	2,414.7	2,565.0	637.8	665.2	677.5	744.9	2,725.4	668.4	678.5	697.7	765.6	2,810.3	3,000.0	3,205.9	4.7%	5.8%
Y/Y %	7.5%	3.6%	6.2%	6.5%	6.0%	6.7%	5.9%	6.3%	4.8%	2.0%	3.0%	2.8%	3.1%	6.8%	6.9%		
GP: Products & Licenses (GAAP)	409.3	398.1	410.1	91.1	105.7	105.8	139.8	442.4	83.4	78.1	82.0	111.9	355.4	367.2	379.1	(1.7%)	(1.0%)
GP: Products & Licenses (GAAP) Margin	73.8%	80.0%	80.7%	79.8%	80.1%	81.1%	81.4%	80.7%	75.3%	74.0%	74.0%	74.0%	74.3%	74.5%	74.7%		
% Incremental margin	14.9%	19.5%	114.3%	77.5%	84.1%	97.4%	(100.0%)	80.1%	233.3%	104.7%	121.6%	135.4%	124.6%	82.3%	80.9%		
GP: Software Blade Subscription (GAAP)	816.6	924.2	1,031.6	269.2	274.9	282.7	301.3	1,128.1	299.3	310.1	317.1	336.7	1,263.1	1,407.3	1,566.7	12.0%	11.1%
GP: Software Blade Subscription (GAAP) Margin	95.2%	94.2%	93.4%	92.6%	92.3%	92.6%	92.7%	92.5%	92.6%	92.5%	92.5%	92.5%	92.5%	92.2%	92.0%		
% Incremental margin	94.6%	87.3%	87.3%	82.0%	76.3%	89.1%	87.5%	84.1%	92.3%	94.3%	92.0%	91.0%	92.4%	89.7%	90.3%		
GP: Software Updates & Maintenance (GAAP)	811.5	823.8	829.0	201.0	201.2	208.8	214.6	825.6	198.5	199.7	205.1	210.4	813.7	834.1	846.6	1.6%	0.5%
GP: Software Updates & Maintenance (GAAP) Margin	88.5%	88.0%	87.0%	86.2%	85.5%	86.4%	86.5%	86.2%	84.7%	84.0%	84.0%	84.0%	84.2%	85.0%	85.0%		
% Incremental margin	87.0%	64.4%	31.0%	270.0%	218.2%	(12.5%)	100.0%	(64.2%)	(192.3%)	(63.2%)	(154.8%)	(169.2%)	(139.5%)	140.6%	85.0%		
Gross Profit (GAAP)	2,025.5	2,132.1	2,245.7	553.7	574.0	589.0	646.9	2,363.6	570.7	577.4	593.7	648.4	2,390.2	2,572.6	2,762.4	4.4%	5.3%
Gross Profit Margin (GAAP)	86.9%	88.3%	87.6%	86.8%	86.3%	86.9%	86.8%	86.7%	85.4%	85.1%	85.1%	84.7%	85.1%	85.8%	86.2%		
% Incremental margin	71.6%	125.7%	75.6%	66.2%	65.6%	79.7%	81.3%	73.5%	55.6%	25.4%	23.0%	7.4%	31.3%	96.2%	92.2%		
R&D (GAAP)	(349.9)	(368.9)	(394.9)	(102.1)	(112.8)	(117.5)	(124.3)	(456.7)	(109.9)	(112.7)	(113.6)	(118.4)	(454.6)	(484.1)	(509.3)	11.8%	6.7%
% Total Revenue	15.0%	15.3%	15.4%	16.0%	17.0%	17.3%	16.4%	16.8%	16.4%	16.6%	16.3%	15.5%	16.2%	16.1%	15.9%		
S&M (GAAP)	(675.2)	(747.1)	(862.9)	(225.4)	(227.8)	(238.0)	(255.8)	(947.0)	(242.6)	(242.6)	(245.2)	(254.8)	(985.3)	(1,056.2)	(1,131.8)	8.3%	8.7%
% Total Revenue	29.0%	30.9%	33.6%	35.3%	34.2%	35.1%	34.3%	34.7%	36.3%	35.8%	35.1%	33.3%	35.1%	35.2%	35.3%		
G&A (GAAP)	(116.1)	(117.0)	(111.9)	(30.7)	(29.8)	(34.4)	(33.9)	(128.8)	(33.1)	(34.8)	(35.9)	(35.9)	(139.7)	(143.8)	(148.8)	5.6%	4.9%
% Total Revenue	5.0%	4.8%	4.4%	4.8%	4.5%	5.1%	4.6%	4.7%	5.0%	5.1%	5.1%	4.7%	5.0%	4.8%	4.6%		
Total Opex (GAAP)	(1,141.2)	(1,233.0)	(1,369.7)	(358.2)	(370.4)	(389.9)	(414.0)	(1,532.5)	(385.6)	(390.1)	(394.8)	(409.1)	(1,579.6)	(1,684.1)	(1,789.9)	9.0%	7.7%
% Total Revenue	49.0%	51.1%	53.4%	56.2%	55.7%	57.5%	55.6%	56.2%	57.7%	57.5%	56.6%	53.4%	56.2%	56.1%	55.8%		
Operating Income (GAAP)	884.3	899.1	876.0	195.5	203.6	199.1	232.9	831.1	185.1	187.3	198.9	239.3	810.6	888.5	972.5	(6.8%)	27.1%
Operating Margin (GAAP)	38.0%	37.2%	34.2%	30.7%	30.6%	29.4%	31.3%	30.5%	27.7%	27.6%	28.5%	31.3%	28.8%	29.6%	30.3%		
Incremental margin	(14.2%)	17.5%	(15.4%)	4.1%	(15.1%)	(45.8%)	(51.9%)	(28.0%)	(34.0%)	(122.8%)	(1.1%)	31.0%	(24.2%)	41.1%	40.8%		
Interest income (expense), net	44.0	76.5	96.1	27.3	28.5	28.7	29.5	114.0	40.8	39.8	38.4	37.6	156.7	138.2	126.7	3.3%	10.6%
Other Items	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Pre-tax Income (GAAP)	928.3	975.6	972.1	222.8	232.1	227.8	262.4	945.1	225.9	227.1	237.3	276.9	967.2	1,026.6	1,099.2	(0.1%)	2.4%
% Total Revenue	39.8%	40.4%	37.9%	34.9%	34.9%	33.6%	35.2%	34.7%	33.8%	33.5%	34.0%	36.2%	34.4%	34.2%	34.3%		
GAAP Income tax benefit (expense)	(131.4)	(135.3)	(126.4)	(31.9)	(29.3)	130.9	42.1	111.8	(34.3)	(37.5)	(38.0)	(44.3)	(154.0)	(164.3)	(175.9)		
Effective tax rate	14.2%	13.9%	13.0%	14.3%	12.6%	(57.5%)	(16.0%)	(11.8%)	15.2%	16.5%	16.0%	16.0%	15.9%	16.0%	16.0%		
Net Income (GAAP)	796.9	840.3	845.7	190.9	202.8	358.7	304.5	1,056.9	191.6	189.6	199.3	232.6	813.2	862.4	923.3	0.5%	1.9%
Net Income margin (GAAP)	34.2%	34.8%	33.0%	29.9%	30.5%	52.9%	40.9%	38.8%	28.7%	27.9%	28.6%	30.4%	28.9%	28.7%	28.8%		
Incremental margin	(11.5%)	51.2%	3.6%	17.9%	14.3%	358.0%	114.1%	131.7%	2.3%	(99.1%)	(787.4%)	(347.0%)	(287.2%)	25.9%	29.6%		
GAAP EPS (\$, basic)	6.39	7.19	7.65	1.77	1.89	3.34	2.85	9.85	1.83	1.83	1.95	2.31	7.92	8.83	9.93	6.5%	6.7%
WA Shares Outstanding (basic)	125.2	116.9	110.6	107.9	107.1	107.4	106.7	107.3	104.7	103.4	102.1	100.8	102.7	97.7	93.1	(5.7%)	(4.5%)
GAAP EPS (\$, diluted)	6.33	7.10	7.46	1.71	1.84	3.28	2.81	9.62	1.81	1.81	1.93	2.28	7.82	8.71	9.78	6.6%	6.6%
WA Shares Outstanding (diluted)	126.3	118.3	113.4	111.4	110.4	109.5	108.4	109.9	106.1	104.8	103.5	102.2	104.1	99.1	94.5	(5.8%)	(4.4%)
EBITDA (GAAP)	920.5	946.5	959.6	219.9	228.9	224.5	250.7	924.0	204.6	210.5	222.3	262.9	900.3	983.5	1,068.7	0.3%	2.5%
EBITDA (GAAP) margin	39.5%	39.2%	37.4%	34.5%	34.4%	33.1%	33.7%	33.9%	30.6%	31.0%	31.9%	34.3%	32.0%	32.8%	33.3%		
Source: Company Reports, TD Cowen																	

CHKP: Non-GAAP Income Statement \$M, except per share figures	FY22A 2022	FY23A 2023	FY24A 2024	1Q25A Mar'25	2Q25A Jun'25	3Q25A Sep'25	4Q25A Dec'25	FY25A 2025	1Q26A Mar'26	2Q26E Jun'26	3Q26E Sep'26	4Q26E Dec'26	FY26E 2026	FY27E 2027	FY28E 2028	CAGR FY18A-23A	CAGR FY23A-28E
Product & Licenses	554.9	497.4	507.9	114.1	131.9	130.4	171.8	548.2	110.8	105.5	110.8	151.2	478.3	492.7	507.5	(1.1%)	0.4%
Software Blade Subscription	858.0	981.2	1,104.2	290.6	297.9	305.4	325.1	1,219.0	323.2	335.2	342.8	364.0	1,365.2	1,526.0	1,702.5	12.6%	11.7%
Software Updates & Maintenance	917.0	936.1	952.9	233.1	235.4	241.7	248.0	958.2	234.4	237.8	244.1	250.5	966.8	981.3	996.0	2.0%	1.2%
Total Revenue	2,329.9	2,414.7	2,565.0	637.8	665.2	677.5	744.9	2,725.4	668.4	678.5	697.7	765.6	2,810.3	3,000.0	3,205.9	4.7%	5.8%
Y/Y %	7.5%	3.6%	6.2%	6.5%	6.0%	6.7%	5.9%	6.3%	4.8%	2.0%	3.0%	2.8%	3.1%	6.8%	6.9%		
COGS (Non-GAAP)	(287.1)	(260.9)	(285.7)	(74.3)	(80.1)	(75.7)	(85.1)	(315.2)	(83.1)	(86.6)	(89.6)	(102.7)	(362.0)	(373.4)	(391.5)	6.0%	8.5%
% Total Revenue	12.3%	10.8%	11.1%	11.6%	12.0%	11.2%	11.4%	11.6%	12.4%	12.8%	12.8%	13.4%	12.9%	12.4%	12.2%		
Gross Profit (Non-GAAP)	2,042.8	2,153.8	2,279.3	563.5	585.1	601.8	659.8	2,410.2	585.3	591.9	608.2	662.9	2,448.3	2,626.6	2,814.4	4.6%	5.5%
Gross Profit Margin (Non-GAAP)	87.7%	89.2%	88.9%	88.4%	88.0%	88.8%	88.6%	88.4%	87.6%	87.2%	87.2%	86.6%	87.1%	87.6%	87.8%		
% Incremental margin	74.1%	130.9%	83.5%	70.5%	73.5%	91.7%	89.1%	81.6%	71.2%	51.0%	31.4%	15.1%	44.9%	94.0%	91.2%		
R&D (Non-GAAP)	(300.8)	(313.2)	(335.3)	(85.9)	(93.8)	(94.3)	(101.8)	(375.8)	(80.6)	(84.4)	(85.8)	(89.6)	(340.4)	(367.7)	(391.5)	10.8%	4.6%
% Total Revenue	12.9%	13.0%	13.1%	13.5%	14.1%	13.9%	13.7%	13.8%	12.1%	12.4%	12.3%	11.7%	12.1%	12.3%	12.2%		
S&M (Non-GAAP)	(627.8)	(677.1)	(764.4)	(198.0)	(197.6)	(200.7)	(230.8)	(827.1)	(217.0)	(217.4)	(219.8)	(228.5)	(882.6)	(950.0)	(1,023.6)	7.3%	8.6%
% Total Revenue	26.9%	28.0%	29.8%	31.0%	29.7%	29.6%	31.0%	30.3%	32.5%	32.0%	31.5%	29.8%	31.4%	31.7%	31.9%		
G&A (Non-GAAP)	(75.3)	(84.4)	(82.1)	(21.0)	(22.6)	(24.9)	(24.9)	(93.4)	(23.1)	(24.9)	(25.6)	(25.6)	(99.3)	(104.2)	(109.4)	15.2%	5.3%
% Total Revenue	3.2%	3.5%	3.2%	3.3%	3.4%	3.7%	3.3%	3.4%	3.5%	3.7%	3.7%	3.3%	3.5%	3.5%	3.4%		
Total OPEX (Non-GAAP)	(1,003.9)	(1,074.7)	(1,181.8)	(304.9)	(314.0)	(319.9)	(357.5)	(1,296.3)	(320.7)	(326.6)	(331.2)	(343.7)	(1,322.3)	(1,421.8)	(1,524.6)	8.8%	7.2%
% Total Revenue	43.1%	44.5%	46.1%	47.8%	47.2%	47.2%	48.0%	47.6%	48.0%	48.1%	47.5%	44.9%	47.1%	47.4%	47.6%		
Operating Income (Non-GAAP)	1,038.9	1,079.1	1,097.5	258.6	271.1	281.9	302.3	1,113.9	264.6	265.2	276.9	319.2	1,126.0	1,204.8	1,289.8	1.2%	3.6%
Operating Margin (Non-GAAP)	44.6%	44.7%	42.8%	40.5%	40.8%	41.6%	40.6%	40.9%	39.6%	39.1%	39.7%	41.7%	40.1%	40.2%	40.2%		
Incremental margin	(6.3%)	47.4%	12.2%	16.9%	15.9%	18.6%	(10.0%)	10.2%	19.6%	(44.1%)	(24.6%)	81.6%	14.2%	41.5%	41.3%		
Net Income (Non-GAAP)	934.9	997.1	1,039.1	246.2	261.4	431.4	368.2	1,307.2	265.3	259.6	269.4	304.5	1,098.8	1,144.7	1,204.6	1.8%	3.9%
Net Income Margin (Non-GAAP)	40.1%	41.3%	40.5%	38.6%	39.3%	63.7%	49.4%	48.0%	39.7%	38.3%	38.6%	39.8%	39.1%	38.2%	37.6%		
Incremental margin	(4.4%)	73.3%	27.9%	30.0%	40.7%	415.1%	157.8%	167.1%	62.4%	(13.6%)	(800.5%)	(307.4%)	(245.6%)	24.2%	29.1%		
Non-GAAP EPS (\$, Basic)	7.47	8.53	9.40	2.28	2.44	4.02	3.45	12.18	2.53	2.51	2.64	3.02	10.70	11.71	12.94	8.0%	8.7%
Non-GAAP EPS (\$, Diluted)	7.40	8.43	9.16	2.21	2.37	3.94	3.40	11.89	2.50	2.48	2.60	2.98	10.55	11.55	12.75	8.1%	8.6%
Δ Non-GAAP to GAAP EPS (\$, Diluted)	1.07	1.33	1.71	0.50	0.53	0.66	0.59	2.27	0.69	0.67	0.68	0.70	2.73	2.84	2.97		
EBITDA (Non-GAAP)	1,075.1	1,126.5	1,181.1	283.0	296.4	307.3	320.1	1,206.8	284.1	288.4	300.3	342.8	1,215.7	1,299.8	1,386.0	1.7%	4.2%
EBITDA margin (Non-GAAP)	46.1%	46.7%	46.0%	44.4%	44.6%	45.4%	43.0%	44.3%	42.5%	42.5%	43.0%	44.8%	43.3%	43.3%	43.2%		
Source: Company Reports, TD Cowen																	

CHKP: GAAP to non-GAAP Reconciliation \$M, except per share figures	FY22A 2022	FY23A 2023	FY24A 2024	1Q25A Mar'25	2Q25A Jun'25	3Q25A Sep'25	4Q25A Dec'25	FY25A 2025	1Q26A Mar'26	2Q26E Jun'26	3Q26E Sep'26	4Q26E Dec'26	FY26E 2026	FY27E 2027	FY28E 2028	CAGR FY18A-23A	CAGR FY23A-28E
Gross Profit (GAAP)	2,025.5	2,132.1	2,245.7	553.7	574.0	589.0	646.9	2,363.6	570.7	577.4	593.7	648.4	2,390.2	2,572.6	2,762.4	4.4%	5.3%
Non-GAAP Adjustments	17.3	21.7	33.6	9.8	11.1	12.8	12.9	46.6	14.6	14.5	14.5	14.5	58.1	54.0	52.0		
Gross Profit (Non-GAAP)	2,042.8	2,153.8	2,279.3	563.5	585.1	601.8	659.8	2,410.2	585.3	591.9	608.2	662.9	2,448.3	2,626.6	2,814.4	4.6%	5.5%
Gross Profit Margin (Non-GAAP)	87.7%	89.2%	88.9%	88.4%	88.0%	88.8%	88.6%	88.4%	87.6%	87.2%	87.2%	86.6%	87.1%	87.6%	87.8%		
R&D (GAAP)	(349.9)	(368.9)	(394.9)	(102.1)	(112.8)	(117.5)	(124.3)	(456.7)	(109.9)	(112.7)	(113.6)	(118.4)	(454.6)	(484.1)	(509.3)	11.8%	6.7%
Non-GAAP Adjustments	49.1	55.7	59.6	16.2	19.0	23.2	22.5	80.9	29.3	28.3	27.8	28.8	114.2	116.5	117.8		
R&D (Non-GAAP)	(300.8)	(313.2)	(335.3)	(85.9)	(93.8)	(94.3)	(101.8)	(375.8)	(80.6)	(84.4)	(85.8)	(89.6)	(340.4)	(367.7)	(391.5)	10.8%	4.6%
% Total Revenue	12.9%	13.0%	13.1%	13.5%	14.1%	13.9%	13.7%	13.8%	12.1%	12.4%	12.3%	11.7%	12.1%	12.3%	12.2%		
S&M (GAAP)	(675.2)	(747.1)	(862.9)	(225.4)	(227.8)	(238.0)	(255.8)	(947.0)	(242.6)	(242.6)	(245.2)	(254.8)	(985.3)	(1,056.2)	(1,131.8)	8.3%	8.7%
Non-GAAP Adjustments	47.4	70.0	98.5	27.4	30.2	37.3	25.0	119.9	25.6	25.2	25.5	26.3	102.7	106.2	108.1		
S&M (Non-GAAP)	(627.8)	(677.1)	(764.4)	(198.0)	(197.6)	(200.7)	(230.8)	(827.1)	(217.0)	(217.4)	(219.8)	(228.5)	(882.6)	(950.0)	(1,023.6)	7.3%	8.6%
% Total Revenue	26.9%	28.0%	28.8%	31.0%	29.7%	29.6%	31.0%	30.3%	32.5%	32.0%	31.5%	29.8%	31.4%	31.7%	31.9%		
G&A (GAAP)	(116.1)	(117.0)	(111.9)	(30.7)	(29.8)	(34.4)	(33.9)	(128.8)	(33.1)	(34.8)	(35.9)	(35.9)	(139.7)	(143.8)	(148.8)	5.6%	4.9%
Non-GAAP Adjustments	40.8	32.6	29.8	9.7	7.2	9.5	9.0	35.4	10.0	9.9	10.3	10.3	40.5	39.6	39.4		
G&A (Non-GAAP)	(75.3)	(84.4)	(82.1)	(21.0)	(22.6)	(24.9)	(24.9)	(93.4)	(23.1)	(24.9)	(25.6)	(25.6)	(99.3)	(104.2)	(109.4)	15.2%	5.3%
% Total Revenue	3.2%	3.5%	3.2%	3.3%	3.4%	3.7%	3.3%	3.4%	3.5%	3.7%	3.7%	3.3%	3.5%	3.5%	3.4%		
Total Opex (GAAP)	(1,141.2)	(1,233.0)	(661.5)	(358.2)	(370.4)	(215.7)	(198.1)	(787.6)	(212.9)	(213.6)	(216.7)	(233.5)	(876.6)	(898.0)	(922.1)	9.0%	(5.6%)
Non-GAAP Adjustments	137.3	158.3	187.9	53.3	56.4	70.0	56.5	236.2	64.9	63.5	63.5	65.4	257.3	262.3	265.3		
Total OPEX (Non-GAAP)	(1,003.9)	(1,074.7)	(1,181.8)	(304.9)	(314.0)	(319.9)	(357.5)	(1,296.3)	(320.7)	(326.6)	(331.2)	(343.7)	(1,322.3)	(1,421.8)	(1,524.6)	8.8%	7.2%
% Total Revenue	43.1%	44.5%	46.1%	47.8%	47.2%	47.2%	48.0%	47.6%	48.0%	48.1%	47.5%	44.9%	47.1%	47.4%	47.6%		
Operating income (GAAP)	884.3	899.1	876.0	195.5	203.6	199.1	232.9	831.1	185.1	187.3	198.9	239.3	810.6	888.5	972.5	(0.3%)	1.6%
Stock-based Compensation Exp	131.4	145.3	149.7	41.2	45.9	62.1	56.4	205.6	59.8	58.5	58.5	60.4	237.2	242.3	249.3	10.2%	11.4%
Amortization of acq. intangible assets	23.2	34.7	71.8	21.9	21.6	20.7	13.0	77.2	19.7	19.5	19.5	19.5	78.2	74.0	68.0	23.8%	14.4%
Acquisition-related compensation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Severance and employee benefits	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Non-GAAP Adjustments	154.6	180.0	221.5	63.1	67.5	82.8	69.4	282.8	79.5	78.0	78.0	79.9	315.4	316.3	317.3	12.2%	12.0%
Operating Income (Non-GAAP)	1,038.9	1,079.1	1,097.5	258.6	271.1	281.9	302.3	1,113.9	264.6	265.2	276.9	319.2	1,126.0	1,204.8	1,289.8	1.2%	3.6%
Operating Margin (Non-GAAP)	44.6%	44.7%	42.8%	40.5%	40.8%	41.6%	40.6%	40.9%	39.6%	39.1%	39.7%	41.7%	40.1%	40.2%	40.2%		
Incremental margin	(6.3%)	47.4%	12.2%	16.9%	15.9%	18.6%	(10.0%)	10.2%	19.6%	(44.1%)	(24.6%)	81.6%	14.2%	41.5%	41.3%		
Net Income (GAAP)	796.9	840.3	845.7	190.9	202.8	358.7	304.5	1,056.9	191.6	189.6	199.3	232.6	813.2	862.4	923.3	0.5%	1.9%
Stock-based Compensation Exp	131.4	145.3	149.7	41.2	45.9	62.1	56.4	205.6	59.8	58.5	58.5	60.4	237.2	242.3	249.3	10.2%	11.4%
Amortization of acq. intangible assets	23.2	34.7	71.8	21.9	21.6	20.7	13.0	77.2	19.7	19.5	19.5	19.5	78.2	74.0	68.0	23.8%	14.4%
Acquisition-related compensation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Severance and employee benefits	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Taxes on the above items	(16.6)	(23.2)	(28.1)	(7.8)	(8.9)	(10.1)	(6.1)	(32.9)	(7.2)	(8.0)	(8.0)	(8.0)	(31.2)	(34.0)	(36.0)	15.1%	9.2%
Gain on strategic investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Non-GAAP adjustments	138.0	156.8	193.4	55.3	58.6	72.7	63.7	250.3	73.7	70.0	70.0	71.9	285.6	282.3	281.3	11.8%	12.4%
Net Income (Non-GAAP)	934.9	997.1	1,039.1	246.2	261.4	431.4	368.2	1,307.2	265.3	259.6	269.4	304.5	1,098.8	1,144.7	1,204.6	1.8%	3.9%
Net Income Margin (Non-GAAP)	40.1%	41.3%	40.5%	38.6%	39.3%	63.7%	49.4%	48.0%	39.7%	38.3%	38.6%	39.8%	39.1%	38.2%	37.6%		
Incremental margin	(4.4%)	73.3%	27.9%	30.0%	40.7%	415.1%	157.8%	167.1%	62.4%	(13.6%)	(800.5%)	(307.4%)	(245.6%)	24.2%	29.1%		
Source: Company Reports, TD Cowen																	

CHKP: Margin Analysis in % of Total Revenue	FY22A 2022	FY23A 2023	FY24A 2024	1Q25A Mar'25	2Q25A Jun'25	3Q25A Sep'25	4Q25A Dec'25	FY25A 2025	1Q26A Mar'26	2Q26E Jun'26	3Q26E Sep'26	4Q26E Dec'26	FY26E 2026	FY27E 2027	FY28E 2028
GP: Products & Licenses (GAAP)	73.8%	80.0%	80.7%	79.8%	80.1%	81.1%	81.4%	80.7%	75.3%	74.0%	74.0%	74.0%	74.3%	74.5%	74.7%
GP: Software Blade Subscription (GAAP)	95.2%	94.2%	93.4%	92.6%	92.3%	92.6%	92.7%	92.5%	92.6%	92.5%	92.5%	92.5%	92.5%	92.2%	92.0%
GP: Software Updates & Maintenance (GAAP)	88.5%	88.0%	87.0%	86.2%	85.5%	86.4%	86.5%	86.2%	84.7%	84.0%	84.0%	84.0%	84.2%	85.0%	85.0%
Gross Profit (GAAP)	86.9%	88.3%	87.6%	86.8%	86.3%	86.9%	86.8%	86.7%	85.4%	85.1%	85.1%	84.7%	85.1%	85.8%	86.2%
% Incremental margin	71.6%	125.7%	75.6%	66.2%	65.6%	79.7%	81.3%	73.5%	55.6%	25.4%	23.0%	7.4%	31.3%	96.2%	92.2%
R&D (GAAP)	15.0%	15.3%	15.4%	16.0%	17.0%	17.3%	16.7%	16.8%	16.4%	16.6%	16.3%	15.5%	16.2%	16.1%	15.9%
S&M (GAAP)	29.0%	30.9%	33.6%	35.3%	34.2%	35.1%	34.3%	34.7%	36.3%	35.8%	35.1%	33.3%	35.1%	35.2%	35.3%
G&A (GAAP)	5.0%	4.8%	4.4%	4.8%	4.5%	5.1%	4.6%	4.7%	5.0%	5.1%	5.1%	4.7%	5.0%	4.8%	4.6%
Total Opex (GAAP)	49.0%	51.1%	53.4%	56.2%	55.7%	57.5%	55.6%	56.2%	57.7%	57.5%	56.6%	53.4%	56.2%	56.1%	55.8%
Operating Income (GAAP)	38.0%	37.2%	34.2%	30.7%	30.6%	29.4%	31.3%	30.5%	27.7%	27.6%	28.5%	31.3%	28.8%	29.6%	30.3%
Incremental margin	(14.2%)	17.5%	(15.4%)	4.1%	(15.1%)	(45.8%)	(51.9%)	(28.0%)	(34.0%)	(122.8%)	(1.1%)	31.0%	(24.2%)	41.1%	40.8%
Net Income (GAAP)	34.2%	34.8%	33.0%	29.9%	30.5%	52.9%	40.9%	38.8%	28.7%	27.9%	28.6%	30.4%	28.9%	28.7%	28.8%
Incremental margin	(11.5%)	51.2%	3.6%	17.9%	14.3%	358.0%	114.1%	131.7%	2.3%	(99.1%)	(787.4%)	(347.0%)	(287.2%)	25.9%	29.6%
EBITDA (GAAP)	39.5%	39.2%	37.4%	34.5%	34.4%	33.1%	33.7%	33.9%	30.6%	31.0%	31.9%	34.3%	32.0%	32.8%	33.3%
% OCF Margin	46.4%	42.9%	41.3%	66.0%	39.4%	35.5%	41.7%	45.3%	66.6%	23.0%	38.9%	41.3%	42.3%	43.8%	43.6%
Free Cash Flow	45.4%	42.1%	40.3%	64.9%	38.5%	34.6%	40.7%	44.3%	65.2%	21.9%	37.8%	40.3%	41.2%	42.5%	42.1%
Gross Profit (Non-GAAP)	87.7%	89.2%	88.9%	88.4%	88.0%	88.8%	88.6%	88.4%	87.6%	87.2%	87.2%	86.6%	87.1%	87.6%	87.8%
% Incremental margin	74.1%	130.9%	83.5%	70.5%	73.5%	91.7%	89.1%	81.6%	71.2%	51.0%	31.4%	15.1%	44.9%	94.0%	91.2%
R&D (Non-GAAP)	12.9%	13.0%	13.1%	13.5%	14.1%	13.9%	13.7%	13.8%	12.1%	12.4%	12.3%	11.7%	12.1%	12.3%	12.2%
S&M (Non-GAAP)	26.9%	28.0%	29.8%	31.0%	29.7%	29.6%	31.0%	30.3%	32.5%	32.0%	31.5%	29.8%	31.4%	31.7%	31.9%
G&A (Non-GAAP)	3.2%	3.5%	3.2%	3.3%	3.4%	3.7%	3.3%	3.4%	3.5%	3.7%	3.7%	3.3%	3.5%	3.5%	3.4%
Total OPEX (Non-GAAP)	43.1%	44.5%	46.1%	47.8%	47.2%	47.2%	48.0%	47.6%	48.0%	48.1%	47.5%	44.9%	47.1%	47.4%	47.6%
Operating Income (Non-GAAP)	44.6%	44.7%	42.8%	40.5%	40.8%	41.6%	40.6%	40.9%	39.6%	39.1%	39.7%	41.7%	40.1%	40.2%	40.2%
Incremental margin	(6.3%)	47.4%	12.2%	16.9%	15.9%	18.6%	(10.0%)	10.2%	19.6%	(44.1%)	(24.6%)	81.6%	14.2%	41.5%	41.3%
Net Income (Non-GAAP)	40.1%	41.3%	40.5%	38.6%	39.3%	63.7%	49.4%	48.0%	39.7%	38.3%	38.6%	39.8%	39.1%	38.2%	37.6%
Incremental margin	(4.4%)	73.3%	27.9%	30.0%	40.7%	415.1%	157.8%	167.1%	62.4%	(13.6%)	(800.5%)	(307.4%)	(245.6%)	24.2%	29.1%
EBITDA (Non-GAAP)	46.1%	46.7%	46.0%	44.4%	44.6%	45.4%	43.0%	44.3%	42.5%	42.5%	43.0%	44.8%	43.3%	43.3%	43.2%
Source: Company Reports, TD Cowen															

CHKP: Sequential Analysis	FY22A	FY23A	FY24A	1Q25A	2Q25A	3Q25A	4Q25A	FY25A	1Q26A	2Q26E	3Q26E	4Q26E	FY26E	FY27E	FY28E
% YoY, % QoQ	2022	2023	2024	Mar'25	Jun'25	Sep'25	Dec'25	2025	Mar'26	Jun'26	Sep'26	Dec'26	2026	2027	2028
% YoY															
Calculated Billings	4.5%	(2.2%)	8.7%	7.0%	3.6%	19.6%	8.3%	9.3%	(1.0%)	(3.1%)	3.5%	4.3%	1.5%	6.9%	6.9%
Product & Licenses	8.0%	(10.4%)	2.1%	13.8%	11.7%	9.7%	0.7%	7.9%	(2.9%)	(20.0%)	(15.0%)	(12.0%)	(12.7%)	3.0%	3.0%
Software Blade Subscription	13.6%	14.4%	12.5%	10.3%	9.6%	10.3%	11.3%	10.4%	11.2%	12.5%	12.2%	12.0%	12.0%	11.8%	11.6%
Software Updates & Maintenance	2.1%	2.1%	1.8%	(0.9%)	(0.9%)	1.0%	2.9%	0.6%	0.6%	1.0%	1.0%	1.0%	0.9%	1.5%	1.5%
Total Revenue	7.5%	3.6%	6.2%	6.5%	6.0%	6.7%	5.9%	6.3%	4.8%	2.0%	3.0%	2.8%	3.1%	6.8%	6.9%
Gross Profit (Non-GAAP)	6.3%	5.4%	5.8%	5.1%	5.0%	6.9%	5.9%	5.7%	3.9%	1.2%	1.1%	0.5%	1.6%	7.3%	7.1%
Operating Income (Non-GAAP)	(1.0%)	3.9%	1.7%	2.6%	2.3%	2.9%	(1.3%)	1.5%	2.3%	(2.2%)	(1.8%)	5.6%	1.1%	7.0%	7.1%
Net Income (Non-GAAP)	(0.8%)	6.7%	4.2%	5.0%	6.3%	68.9%	21.4%	25.8%	7.8%	(0.7%)	(37.6%)	(17.3%)	(15.9%)	4.2%	5.2%
Non-GAAP EPS (\$, Diluted)	5.4%	13.9%	8.7%	8.6%	9.3%	74.9%	25.6%	29.8%	13.1%	4.6%	(33.9%)	(12.3%)	(11.3%)	9.4%	10.4%
EBITDA (Non-GAAP)	(0.4%)	4.8%	4.8%	3.7%	4.4%	5.0%	(3.6%)	2.2%	0.4%	(2.7%)	(2.3%)	7.1%	0.7%	6.9%	6.6%
Cash Flow from Operations	(8.7%)	(4.2%)	2.3%	16.6%	31.1%	(3.3%)	24.7%	16.6%	5.7%	(40.5%)	12.8%	1.8%	(3.7%)	10.5%	6.5%
Free Cash Flow	(9.4%)	(4.0%)	1.8%	16.7%	32.3%	(3.9%)	25.0%	16.7%	5.4%	(42.0%)	12.4%	1.8%	(4.2%)	10.1%	5.9%
% QoQ															
Calculated Billings				(42.3%)	16.2%	4.5%	54.6%		(47.3%)	13.7%	11.7%	55.8%			
Product & Licenses				(33.1%)	15.6%	(1.1%)	31.7%		(35.5%)	(4.8%)	5.0%	36.4%			
Software Blade Subscription				(0.5%)	2.5%	2.5%	6.5%		(0.6%)	3.7%	2.3%	6.2%			
Software Updates & Maintenance				(3.2%)	1.0%	2.7%	2.6%		(5.5%)	1.4%	2.7%	2.6%			
Total Revenue				(9.4%)	4.3%	1.8%	9.9%		(10.3%)	1.5%	2.8%	9.7%			
Gross Profit (Non-GAAP)				(9.6%)	3.8%	2.9%	9.6%		(11.3%)	1.1%	2.7%	9.0%			
Operating Income (Non-GAAP)				(15.6%)	4.8%	4.0%	7.2%		(12.5%)	0.2%	4.4%	15.3%			
Net Income (Non-GAAP)				(18.8%)	6.2%	65.0%	(14.6%)		(27.9%)	(2.2%)	3.8%	13.0%			
Non-GAAP EPS (\$, Diluted)				(18.3%)	7.1%	66.4%	(13.8%)		(26.4%)	(0.9%)	5.1%	14.4%			
EBITDA (Non-GAAP)				(14.7%)	4.7%	3.7%	4.2%		(11.2%)	1.5%	4.1%	14.1%			
Cash Flow from Operations				69.1%	(37.8%)	(8.2%)	29.0%		43.5%	(65.0%)	73.9%	16.5%			
Free Cash Flow				70.6%	(38.1%)	(8.3%)	29.2%		43.8%	(65.9%)	77.6%	16.9%			
Source: Company Reports, TD Cowen															

CHKP: Balance Sheet \$M, except per share figures	FY22A 2022	FY23A 2023	FY24A 2024	1Q25A Mar'25	2Q25A Jun'25	3Q25A Sep'25	4Q25A Dec'25	FY25A 2025	1Q26A Mar'26	2Q26E Jun'26	3Q26E Sep'26	4Q26E Dec'26	FY26E 2026	FY27E 2027	FY28E 2028	CAGR FY18A-23A	CAGR FY23A-28E
Cash & cash equivalents	196.0	537.7	506.2	450.2	611.7	619.9	1,800.0	1,800.0	1,072.5	938.7	1,035.6	1,037.1	1,037.1	1,031.7	1,079.6	12.1%	15.0%
Marketable securities, current	1,441.6	992.3	865.7	1,012.0	912.7	849.1	1,214.9	1,214.9	1,696.3	1,716.3	1,666.3	1,666.3	1,666.3	1,686.3	1,706.3	5.8%	6.0%
Trade Receivables	644.2	657.7	728.8	399.7	467.7	428.4	769.1	769.1	410.1	456.5	459.8	772.0	772.0	824.2	880.7		
Prepaid & other current assets	50.0	70.0	92.7	94.5	104.9	133.7	180.0	180.0	178.4	190.2	191.6	193.0	193.0	206.0	220.2		
Total Current Assets	2,331.8	2,257.7	2,193.4	1,956.4	2,097.0	2,031.1	3,964.0	3,964.0	3,357.3	3,301.7	3,353.3	3,668.5	3,668.5	3,748.2	3,886.9	(0.6%)	11.5%
Marketable Securities, non-current	1,865.6	1,429.7	1,411.9	1,469.8	1,389.0	1,348.2	1,326.8	1,326.8	1,610.9	1,570.9	1,540.9	1,530.9	1,530.9	1,490.9	1,460.9		
Property & Equipment, Net	82.8	80.4	80.8	83.0	83.6	83.1	82.9	82.9	85.8	85.1	84.2	83.1	83.1	78.1	71.9		
Deferred tax asset	77.6	81.8	74.7	80.6	76.2	62.4	68.3	68.3	73.1	69.2	69.7	70.3	70.3	75.0	80.1		
Goodwill	1,236.7	1,554.4	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0		
Intangible Assets	58.8	194.1	343.1	323.9	395.0	375.8	564.5	564.5	650.4	635.4	620.4	605.4	605.4	555.4	515.4		
Other Long-Term Assets	71.5	97.4	96.6	90.2	91.1	245.0	245.9	245.9	281.0	276.9	279.0	281.0	281.0	300.0	320.6		
Severance Pay fund	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Total Non-current Assets	3,393.0	3,437.8	3,561.1	3,601.5	3,588.9	3,668.5	3,842.4	3,842.4	4,255.2	4,191.6	4,148.2	4,124.7	4,124.7	4,053.4	4,002.9	(0.4%)	3.1%
Total Assets	5,724.8	5,695.5	5,754.5	5,557.9	5,685.9	5,699.6	7,806.4	7,806.4	7,612.5	7,493.3	7,501.5	7,793.2	7,793.2	7,801.6	7,889.8	(0.5%)	6.7%
Loans and Borrowing, current	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Deferred revenues, current	1,363.4	1,413.8	1,471.3	1,389.8	1,352.7	1,317.3	1,530.1	1,530.1	1,429.7	1,385.1	1,371.8	1,614.4	1,614.4	1,715.1	1,823.7	7.6%	5.2%
Trade payables & other accrued liabilities	475.8	502.3	472.9	394.8	407.4	395.3	406.6	406.6	382.4	400.3	403.8	399.6	399.6	429.7	460.7		
Total current liabilities	1,839.2	1,916.1	1,944.2	1,784.6	1,760.1	1,712.6	1,936.7	1,936.7	1,812.1	1,785.4	1,775.6	2,014.0	2,014.0	2,144.8	2,284.4	7.5%	3.6%
Loans and Borrowing, non-current	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Deferred revenue, non-current	514.4	493.9	529.0	525.6	540.0	569.5	650.3	650.3	629.8	618.3	629.3	704.7	704.7	757.7	815.5	6.7%	10.5%
Income Tax accrual	419.7	436.1	459.6	467.4	517.1	304.7	329.7	329.7	350.1	326.8	323.6	323.2	323.2	324.0	330.2		
Deferred tax liability	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other liabilities, non-current	22.2	28.4	32.3	31.8	34.7	33.0	35.5	35.5	32.7	33.2	30.7	30.9	30.9	30.0	32.1		
Total Non-current Liabilities	956.3	958.4	1,020.9	1,024.8	1,091.8	907.2	2,987.6	2,987.6	2,986.1	2,950.5	2,955.7	3,030.9	3,030.9	3,083.8	3,149.8	5.8%	26.9%
Total Liabilities	2,795.5	2,874.5	2,965.1	2,809.4	2,851.9	2,619.8	4,924.3	4,924.3	4,798.2	4,735.9	4,731.2	5,044.9	5,044.9	5,228.6	5,434.2	6.9%	13.6%
Stockholders' Equity	2,929.3	2,821.0	2,789.4	2,748.5	2,834.0	3,079.8	2,882.1	2,882.1	2,814.3	2,757.4	2,770.3	2,748.3	2,748.3	2,573.0	2,455.6	(5.6%)	(2.7%)
Total Liabilities & Equity	5,724.8	5,695.5	5,754.5	5,557.9	5,685.9	5,699.6	7,806.4	7,806.4	7,612.5	7,493.3	7,501.5	7,793.2	7,793.2	7,801.6	7,889.8	(0.5%)	6.7%
Source: Company Reports, TD Cowen																	

CHKP: Cash Flow Statement \$M, except per share figures	FY22A 2022	FY23A 2023	FY24A 2024	1Q25A Mar'25	2Q25A Jun'25	3Q25A Sep'25	4Q25A Dec'25	FY25A 2025	1Q26A Mar'26	2Q26E Jun'26	3Q26E Sep'26	4Q26E Dec'26	FY26E 2026	FY27E 2027	FY28E 2028	CAGR FY18A-23A	CAGR FY23A-28E
GAAP Net Income	796.9	840.3	845.7	190.9	202.8	358.7	304.5	1,056.9	191.6	189.6	199.3	232.6	813.2	862.4	923.3	0.5%	1.9%
Depreciation of property and equipment	22.7	23.1	24.0	5.2	5.7	6.3	7.6	24.8	6.6	8.2	8.4	8.6	31.8	35.0	36.2		
Amortization of intangible assets	13.5	24.3	59.6	19.2	19.6	19.1	10.2	68.1	12.9	15.0	15.0	15.0	57.9	60.0	60.0		
Stock-based comp	131.4	145.3	149.7	41.2	45.9	62.1	56.4	205.6	59.8	58.5	58.5	60.4	237.2	242.3	249.3		
Realized loss (gain) on mkt. securities	0.0	6.7	0.0	0.1	0.0	0.0	(0.1)	0.0	(0.1)	0.0	0.0	0.0	(0.1)	0.0	0.0		
Funds Flow from Operations	964.5	1,039.7	1,079.0	256.6	274.0	446.2	378.6	1,355.4	270.8	271.3	281.3	316.6	1,140.0	1,199.7	1,268.8	2.2%	4.1%
Changes in operating assets & liabilities:																	
Δ Trade and other receivables	(44.8)	(61.0)	(78.9)	329.4	(75.0)	45.4	(382.7)	(82.9)	300.2	(58.2)	(4.7)	(313.7)	(76.4)	(65.1)	(70.7)		
Δ Def. Rev, trade payables & other accrued liabilities	160.8	65.5	59.7	(142.1)	66.7	(266.3)	327.5	(14.2)	(127.9)	(37.6)	(1.5)	314.1	147.1	182.9	199.4		
Δ Excess Tax benefit	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Δ Deferred income taxes	(0.5)	(9.5)	(1.0)	(22.8)	(3.6)	15.3	(13.4)	(24.5)	0.8	(19.5)	(3.7)	(0.9)	(23.3)	(3.9)	1.1		
Δ Operating Working Capital	115.5	(5.0)	(20.2)	164.5	(11.9)	(205.6)	(68.2)	(121.2)	174.5	(115.2)	(9.9)	(0.5)	48.9	113.8	129.8		
Cash Flow from Operations	1,080.0	1,034.7	1,058.8	421.1	262.1	240.6	310.4	1,234.2	445.3	156.1	271.4	316.1	1,188.9	1,313.5	1,398.6	(1.7%)	6.2%
% OCF Margin	46.4%	42.9%	41.3%	66.0%	39.4%	35.5%	41.7%	45.3%	66.6%	23.0%	38.9%	41.3%	42.3%	43.8%	43.6%		
CAPEX: Property and equipment	(22.1)	(18.6)	(24.2)	(7.4)	(6.1)	(5.9)	(7.2)	(26.6)	(9.4)	(7.5)	(7.5)	(7.5)	(31.9)	(30.0)	(30.0)		
CAPEX: Intangible assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(10.0)	(20.0)		
Payment in conjunction with acquisition	0.0	(455.0)	(185.8)	0.0	(83.7)	0.0	(189.4)	(273.1)	(92.2)	0.0	0.0	0.0	(92.2)	0.0	0.0		
Δ Other Long-Term Assets	(48.3)	(3.8)	0.0	0.0	0.0	(159.9)	0.0	(159.9)	0.0	4.1	(2.0)	(2.1)	(0.0)	(19.0)	(20.6)		
Cash Flow from Investing	(70.4)	(477.4)	(210.0)	(7.4)	(89.8)	(165.8)	(196.6)	(459.6)	(101.6)	(3.4)	(9.5)	(9.6)	(124.1)	(59.0)	(70.6)	22.6%	(31.8%)
Net proceeds from marketable securities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	20.0	80.0	10.0	110.0	20.0	10.0		
Proceeds from issuance of shares from options	141.1	133.7	258.6	46.0	138.7	153.8	54.7	393.2	34.4	0.0	0.0	0.0	34.4	0.0	0.0		
Purchase of treasury shares	(1,299.9)	(1,287.6)	(1,300.0)	(325.0)	(325.0)	(325.0)	(425.0)	(1,400.0)	(325.0)	(325.0)	(325.0)	(325.0)	(1,300.0)	(1,300.0)	(1,300.0)		
Payments related to shares withheld for taxes	(9.2)	(11.0)	(18.6)	(1.5)	(12.8)	(5.3)	(1.3)	(20.9)	(0.9)	0.0	0.0	0.0	(0.9)	0.0	0.0		
Excess tax benefit from stock-based comp/other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Cash Flow from Financing Activities	(1,168.0)	(1,164.9)	(1,060.0)	(280.5)	(199.1)	(176.5)	1,408.1	752.0	(291.5)	(306.4)	(245.0)	(315.0)	(1,157.9)	(1,280.0)	(1,290.0)	9.1%	2.1%
Unrealized gain (loss) on mktable sec	(121.8)	64.1	35.3	15.0	8.2	5.5	2.6	31.3	(14.2)	0.0	0.0	0.0	(14.2)	0.0	0.0		
Beginning cash and cash equivalents, marketable sec	3,783.4	3,503.2	2,959.7	2,783.8	2,932.0	2,913.4	2,817.2	2,783.8	4,341.7	4,379.7	4,225.9	4,242.8	4,341.7	4,234.3	4,208.9		
Total Change in Cash	(158.4)	(607.6)	(211.2)	148.2	(26.8)	(101.7)	1,521.9	1,526.6	52.2	(153.8)	16.9	(8.5)	(93.2)	(25.5)	38.0		
Ending cash and cash equivalents, marketable securities	3,503.2	2,959.7	2,783.8	2,932.0	2,913.4	2,817.2	4,341.7	4,341.7	4,379.7	4,225.9	4,242.8	4,234.3	4,234.3	4,208.9	4,246.8	(6.0%)	7.5%
Ending Cash and cash equivalents	196.0	537.7	506.2	450.2	611.7	619.9	1,800.0	1,800.0	1,072.5	938.7	1,035.6	1,037.1	1,037.1	1,031.7	1,079.6	12.1%	15.0%
Free Cash Flow	1,057.9	1,016.1	1,034.6	413.7	256.0	234.7	303.2	1,207.6	435.9	148.6	263.9	308.6	1,157.0	1,273.5	1,348.6	(1.8%)	5.8%
% FCF Margin	45.4%	42.1%	40.3%	64.9%	38.5%	34.6%	40.7%	44.3%	65.2%	21.9%	37.8%	40.3%	41.2%	42.5%	42.1%		
Free Cash Flow per Share (\$)	8.38	8.59	9.12	3.71	2.32	2.14	2.80	10.99	4.11	1.42	2.55	3.02	11.11	12.85	14.27	4.2%	10.7%
Source: Company Reports, TD Cowen																	

CHKP: Other Metrics in %	FY22A 2022	FY23A 2023	FY24A 2024	1Q25A Mar'25	2Q25A Jun'25	3Q25A Sep'25	4Q25A Dec'25	FY25A 2025	1Q26A Mar'26	2Q26E Jun'26	3Q26E Sep'26	4Q26E Dec'26	FY26E 2026	FY27E 2027	FY28E 2028	CAGR FY18A-23A	CAGR FY23A-28E
Economic SaaS Metrics:																	
Calculated Billings (in \$M)	2,501	2,445	2,658	553	643	672	1,039	2,906	548	622	695	1,084	2,949	3,154	3,372	3.4%	6.6%
Y/Y %	4.5%	(2.2%)	8.7%	7.0%	3.6%	19.6%	8.3%	9.3%	(1.0%)	(3.1%)	3.5%	4.3%	1.5%	6.9%	6.9%		
Q/Q %				(42.3%)	16.2%	4.5%	54.6%		(47.3%)	13.7%	11.7%	55.8%					
Revenue by Region:																	
EMEA (in \$M)	1,050	1,117	1,194	268	299	302	346	1,215	307	339	342	383	1,371	1,498	1,616	9.3%	7.7%
Y/Y %	7.0%	6.4%	6.9%	(2.7%)	3.7%	3.3%	2.5%	1.8%	14.8%	13.3%	13.3%	10.5%	12.8%	9.2%	7.9%		
% Total Revenue	45.0%	46.2%	46.5%	42.0%	45.0%	44.6%	46.5%	44.6%	46.0%	50.0%	49.0%	50.0%	48.8%	49.9%	50.4%		
Americas (in \$M)	991	1,026	1,069	287	286	287	314	1,174	281	261	265	299	1,106	1,162	1,229	2.8%	3.7%
Y/Y %	7.4%	3.5%	4.2%	14.1%	6.0%	10.1%	9.5%	9.8%	(2.2%)	(6.7%)	(7.5%)	(5.0%)	(5.8%)	5.1%	5.8%		
% Total Revenue	42.5%	42.5%	41.7%	45.0%	43.0%	42.3%	42.2%	43.1%	42.0%	38.5%	38.0%	39.0%	39.3%	38.7%	38.3%		
APAC (in \$M)	289	272	302	83	80	89	84	336	80	78	91	84	333	341	360	(2.4%)	5.8%
Y/Y %	9.9%	(5.9%)	11.0%	15.4%	15.7%	7.9%	6.8%	11.2%	(3.3%)	(2.3%)	1.8%	0.1%	(0.8%)	2.2%	5.7%		
% Total Revenue	12.4%	11.3%	11.8%	13.0%	12.0%	13.2%	11.3%	12.3%	12.0%	11.5%	13.0%	11.0%	11.9%	11.4%	11.2%		
Liquidity:																	
Current Ratio	126.8%	117.8%	112.8%	109.6%	119.1%	118.6%	204.7%	204.7%	185.3%	184.9%	188.9%	182.2%	182.2%	174.8%	170.1%		
Quick Ratio	126.8%	117.8%	112.8%	109.6%	119.1%	118.6%	204.7%	204.7%	185.3%	184.9%	188.9%	182.2%	182.2%	174.8%	170.1%		
Cash Ratio	89.0%	79.8%	70.6%	81.9%	86.6%	85.8%	155.7%	155.7%	152.8%	148.7%	152.2%	134.2%	134.2%	126.7%	122.0%		
Cash per share (\$)	12.97	12.93	12.10	13.13	13.81	13.42	27.81	27.43	26.10	25.34	26.11	26.45	25.96	27.42	29.48		
Cash Conversion:																	
Days Sales Outstanding (DSO I)	101	99	103	56	64	58	103	103	54	60	60	100	100	100	100		
Days Prepaid Outstanding (DSO II)	8	11	13	13	14	18	24	24	24	25	25	25	25	25	25		
Days Payables Outstanding (DPO)	173	170	146	119	121	115	114	114	106	110	110	110	110	110	110		
Cash Conversion Cycle	(64)	(60)	(29)	(50)	(42)	(38)	13	13	(28)	(25)	(25)	15	15	15	15		
Cash Conversion Rate = FCF/GAAP Net Income	132.8%	120.9%	122.3%	216.7%	126.2%	65.4%	99.6%	114.3%	227.5%	78.3%	132.4%	132.7%	142.3%	147.7%	146.1%		
Leverage and Solvency:																	
Assets-to-Equity	195.4%	201.9%	206.3%	202.2%	200.6%	185.1%	270.9%	270.9%	270.5%	271.8%	270.8%	283.6%	283.6%	303.2%	321.3%		
Debt-to-Equity	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%		
Debt-to-Assets	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%		
Net debt (cash)	(1,638)	(1,530)	(1,372)	(1,462)	(1,524)	(1,469)	(3,015)	(3,015)	(2,769)	(2,655)	(2,702)	(2,703)	(2,703)	(2,718)	(2,786)		
Book value per share (\$)	23.19	23.85	24.60	24.67	25.67	28.13	26.59	26.22	26.52	26.32	26.77	26.89	26.39	25.95	25.99		
Coverage:																	
Net debt-to-GAAP EBITDA (TTM)	(177.9%)	(161.6%)	(143.0%)	(151.6%)	(157.9%)	(154.1%)	(326.3%)	(326.3%)	(304.7%)	(298.2%)	(304.3%)	(300.3%)	(300.3%)	(276.4%)	(260.7%)		
Net debt-to-Non GAAP EBITDA (TTM)	(152.3%)	(135.8%)	(116.2%)	(122.7%)	(126.6%)	(120.5%)	(249.8%)	(249.8%)	(229.2%)	(221.3%)	(226.5%)	(222.4%)	(222.4%)	(209.1%)	(201.0%)		
EBIT / Interest expense coverage	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM		
Debt coverage by Operating Cash Flow	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a		
Profitability:																	
Return on Asset (ROA)	13.9%	14.8%	14.7%	15.3%	15.1%	17.7%	13.5%	13.5%	13.9%	13.9%	11.8%	10.4%	10.4%	11.1%	11.7%		
Return on Total Capital	27.2%	29.8%	30.3%	31.0%	30.3%	32.8%	36.7%	36.7%	37.6%	37.9%	31.9%	29.6%	29.6%	33.5%	37.6%		
Return on Equity (ROE)	27.2%	29.8%	30.3%	31.0%	30.3%	32.8%	36.7%	36.7%	37.6%	37.9%	31.9%	29.6%	29.6%	33.5%	37.6%		
Return on Invested Capital (ROIC)																	
ROIC, LTM	44.3%	33.7%	31.4%	35.2%	32.6%	37.0%	27.9%	27.9%	32.0%	30.7%	24.4%	20.3%	20.3%	23.0%	25.0%		
Operating Income (GAAP)	884.3	899.1	876.0	195.5	203.6	199.1	232.9	831.1	185.1	187.3	198.9	239.3	810.6	888.5	972.5	(0.3%)	1.6%
Amortization of intangible assets	13.5	24.3	59.6	19.2	19.6	19.1	10.2	68.1	12.9	15.0	15.0	15.0	57.9	60.0	60.0	40.8%	19.8%
GAAP Income tax benefit (expense)	(131.4)	(135.3)	(126.4)	(31.9)	(29.3)	130.9	42.1	111.8	(34.3)	(37.5)	(38.0)	(44.3)	(154.0)	(164.3)	(175.9)		
Δ Deferred Income taxes	(0.5)	(9.5)	(1.0)	(22.8)	(3.6)	15.3	(13.4)	(24.5)	0.8	(19.5)	(3.7)	(0.9)	(23.3)	(3.9)	1.1		
Cash taxes	(131.9)	(144.8)	(127.4)	(54.7)	(32.9)	146.2	28.7	87.3	(33.5)	(56.9)	(41.7)	(45.2)	(177.3)	(168.2)	(174.8)		
NOPAT = GAAP EBITA - CASH TAXES	765.9	778.6	808.2	160.0	190.3	364.4	271.8	986.5	164.5	145.3	172.2	209.1	691.1	780.3	857.7	(0.6%)	2.0%
Intangible Assets	58.8	194.1	343.1	323.9	395.0	375.8	564.5	564.5	650.4	635.4	620.4	605.4	605.4	555.4	515.4		
Goodwill	1,236.7	1,554.4	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0	1,554.0		
Property & Equipment, Net	82.8	80.4	80.8	83.0	83.6	83.1	82.9	82.9	85.8	84.2	84.2	83.1	83.1	78.1	71.9		
Other Long-Term Assets	71.5	97.4	96.6	90.2	91.1	245.0	245.9	245.9	281.0	276.9	279.0	281.0	281.0	300.0	320.6		
Net Working Capital (excl. deferred revenue)																	
Trade Receivables (+)	644.2	657.7	728.8	399.7	467.7	428.4	769.1	769.1	410.1	456.5	459.8	772.0	772.0	824.2	880.7		
Prepaid & other current assets (+)	50.0	70.0	92.7	94.5	104.9	133.7	180.0	180.0	178.4	190.2	191.6	193.0	193.0	206.0	220.2		
Trade payables & other accrued liabilities (-)	(475.8)	(502.3)	(472.9)	(394.8)	(407.4)	(395.3)	(406.6)	(406.6)	(382.4)	(400.3)	(403.8)	(399.6)	(399.6)	(429.7)	(460.7)		
Operating cash (assuming: 30% cash on hand)	58.8	161.3	151.9	135.1	183.5	186.0	540.0	540.0	321.8	281.6	310.7	311.1	311.1	309.5	323.9		
Invested Capital	1,727.0	2,313.0	2,575.0	2,285.6	2,472.4	2,610.7	3,529.8	3,529.8	3,099.1	3,079.4	3,095.9	3,400.1	3,400.1	3,397.5	3,426.0	9.9%	8.2%
Economic Profit = NOPAT - (WACC x IC)	621.5	585.2	592.9	612.4	599.3	748.9	691.4	691.4	731.9	688.6	495.0	406.9	406.9	496.2	571.3		
Source: Company Reports, TD Cowen																	

VALUATION METHODOLOGY AND RISKS

Valuation Methodology

Cybersecurity & Information Security:

Our valuation methodology is primarily based on Enterprise Value to Free Cash Flow (EV/FCF), followed by Price-to-Earnings (P/E). However, this varies by company; for instance, we will often use Enterprise Value to Revenue (EV/Revs) or a discounted cash flow (DCF) analysis for software companies that are primarily subscriptions-based, or for growth companies that have recently entered the public equity markets.

We make investment recommendations on certain early stage, pre-revenue companies based upon an assessment of their business model, technology, probability of market success, and the potential market opportunity, balanced by an assessment of applicable risks. Such companies may not be assigned a price target.

Investment Risks

Cybersecurity & Information Security:

The global economy or specific end markets significantly worsen, contracting IT spending and impairing software growth. The rate of SaaS/Cloud adoption slows, resulting in prolonged sales cycles and higher-than-anticipated quarterly volatility across much of our coverage universe. Competition increases materially, driving deflationary pricing pressure and compressing margins. In particular, innovation by new entrants in the software sector often produces solutions with similar or better functionality at materially lower prices than incumbents' legacy offerings.

Risks To The Price Target

- **Global Macro Slowdown:** Macroeconomic conditions could have a negative impact on IT security spending which could limit growth. CHKP's high international exposure at >50% is susceptible to FX risk.
- **Competitive Dynamics:** Direct competition from Cisco, Fortinet and Palo Alto Networks, and other next-gen cloud security challengers, may continue to tighten, causing product revenue to deteriorate. Operating margins could meaningfully suffer as a result of trying to keep pace.
- **Breach of Network and/or Product Failure:** Any security breach affecting CHKP's software could have a disproportionately negative effect given the importance of reputation and trust for a security company.
- **Shortage of Skilled Talent:** Failure to attract highly skilled IT security human capital to sustain technological innovation could negatively influence the future success of the business.

ADDENDUM

Stocks Mentioned In Important Disclosures

Ticker	Company Name
CHKP	Check Point Software Technologies
NET	Cloudflare
FTNT	Fortinet
SAIL	SailPoint

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Assumption: The expected total return calculation includes annual return and forecasted dividend yield

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